

GRIESH G/

UJJIVAN

Promoter: **SAMIT GHOSH, 58**

Business: **Financial services**

Revenue target: **Rs 30 crore by 2009**

HE WAS PART of the retail banking revolution in India, with stints in Citibank, Standard Chartered and HDFC Bank. While microfinance services for the Indian middle class have been redefined, there are thousands of urban poor who find it difficult to open bank accounts, save and obtain credit. Ujjivan was born in 2004 with the intention of bridging this gap. Though margins are not very high in this business and risks are significant, the company started out as a regular non-banking financial company and not as a non-profit organisation. The company intends to offer a full range of financial services, including the sale of insurance packages and the provision of housing, business and family loans to the urban poor. All Ujjivan customers get life insurance coverage and can avail health insurance benefits.

"There is great opportunity in servicing the financial needs of the urban poor."

Sequoia Capital: "These businesses are transformative but not very profitable. In that sense, our investment in SKS Microfinance was pioneering. The company is growing at 200 per cent per year."

In segments like micro-finance, banks are competing with entrepreneurs directly. For instance, most banks are now trying to tap the rich farming community by helping them with their savings and offering them cheaper credit. HDFC is tying up with co-operative banks to penetrate the hinterland, while the Development

Credit Bank is launching its microfinance business across India.

Undoubtedly, there is value in these businesses, which is why venture capital firms are willing to invest in them. Niche firms are investing in businesses that are striving to make an impact on society. Funds like Unitus and Acumen Fund, which are neither grant capital firms nor commercial venture capital companies, raise money from university endowment funds and philanthropists, but invest only in companies which make profit. Explains V. Biju Mohandas, manager

of Acumen Fund, India: "We are willing to incur the high risks involved in providing capital to businesses targeted towards low-income markets without necessarily looking for high returns." Individuals, too, are coming into the fray through their foundations by offering risk capital to businesses that aim to improve the lot of the economically marginalised. For example, the Michael & Susan Dell Foundation for poor urban children has invested in Ujjivan.

The need to recognise social entrepreneurs has been gaining